

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) “us”, “our”, “we”, “the Company” and “YUM” refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) “the Parent” refers to YUM! Brands, Inc., on a stand-alone basis, (iii) “the Issuers” refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of \$750 million of 4.75% Senior Notes due 2027 (the “Subsidiary Senior Unsecured Notes”) and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2020 filed with the SEC (the “2020 10-K”) on February 19, 2021; (iv) “the Specified Guarantors” refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) “the Companies” refers to collectively the Issuers and the Specified Guarantors, (vi) “the Taco Bell Securitization Entities” refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries, (vii) “the Habit Entities” refers to collectively The Habit Restaurants, Inc., The Habit Restaurants, LLC, HBG Franchise, LLC, and Habit Employment, L.P. and (viii) the “Restricted Group” refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Condensed Consolidated Financial Statements (“Financial Statements”) and the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” contained in our quarterly report on Form 10-Q for the quarter ended September 30, 2021 as filed with the SEC on November 3, 2021 (the “Third Quarter 10-Q”) and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group’s pro forma results of operation and financial condition together with the information included in our 2020 10-K, especially the information under the heading “Risk Factors”.

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of the Habit Entities (until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group) as well as the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Quarter ended			Year to date		
	2021	2020	% B/(W)	2021	2020	% B/(W)
Company sales	\$ 513	\$ 368	39	\$ 1,388	\$ 1,013	37
Franchise and property revenues	561	492	14	1,621	1,349	20
Franchise contributions for advertising and other services	377	323	17	1,105	905	22
Total revenues	<u>\$ 1,451</u>	<u>\$ 1,183</u>	23	<u>\$ 4,114</u>	<u>\$ 3,267</u>	26
G&A expenses	\$ 223	\$ 214	(5)	\$ 579	\$ 602	4
Operating Profit	\$ 389	\$ 355	9	\$ 1,241	\$ 836	48

Unit Count	9/30/2021	9/30/2020	% Increase (Decrease)
Franchise	44,620	42,649	5
Company-owned	1,081	872	24
Total	<u>45,701</u>	<u>43,521</u>	5

	Quarter ended		Year to date	
	2021	2020	2021	2020
Same-store Sales Growth (Decline) %	6%	(2%)	12%	(8%)
System Sales Growth (Decline) %, reported	13%	(1%)	20%	(7%)
System Sales Growth (Decline) %, excluding FX	10%	(4%)	16%	(10%)

Taco Bell Securitization Entities:

The Securitization Transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 6,450 and 6,323 U.S. Taco Bell franchise units were excluded from the Restricted Group as of September 30, 2021 and 2020, respectively, as the Restricted Group no longer receives franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of \$155 million and \$147 million were excluded from the Restricted Group for

the quarters ended September 30, 2021 and 2020, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

- Franchise and property revenues of \$458 million and \$410 million were excluded from the Restricted Group for the years to date ended September 30, 2021 and 2020, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

Company Restaurant Expenses

- The Restricted Group includes \$13 million of additional company restaurant expenses for each of the quarters ended September 30, 2021 and 2020 due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).
- The Restricted Group includes \$36 million and \$34 million of additional company restaurant expenses for the years to date ended September 30, 2021 and 2020, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of \$29 million and \$31 million for the quarters ended September 30, 2021 and 2020, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.
- Management fees of \$92 million and \$94 million for the years to date ended September 30, 2021 and 2020, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.
- Prior to August 19, 2021, on an annual basis, these management fees were equal to the sum of a base fee of \$35 million (subject to 2% per annum escalation, compounded annually) plus 15.1% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year. Effective August 19, 2021, pursuant to a refinancing transaction completed by the Taco Bell Securitization Entities, these management fees, on an annual basis, are equal to the sum of a base fee of approximately \$30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).

Habit Burger Grill:

On March 18, 2020, YUM! Brands, Inc. completed the acquisition of all of the issued and outstanding common shares of The Habit Restaurants, Inc., which owns the restaurant concept The Habit Burger Grill. The Habit Entities were excluded from the Restricted Group until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group. The exclusion of the Habit Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group in comparison to the corresponding data of YUM.

- Company sales of \$121 were excluded from the Restricted Group for the year to date ended September 30, 2021; Company sales of \$118 million and \$231 million were excluded from the Restricted Group for the quarter and year to date ended September 30, 2020, respectively.

- Franchise and property revenues of \$1 million were excluded from the Restricted Group for the year to date ended September 30, 2021; Franchise and property revenues of \$1 million were excluded from the Restricted Group for the year to date ended September 30, 2020.
- Company restaurant expenses of \$110 million were excluded from the Restricted Group for the year to date ended September 30, 2021; Company restaurant expenses of \$115 million and \$226 million were excluded from the Restricted Group for the quarter and year to date ended September 30, 2020, respectively.
- G&A expenses of \$12 million were excluded from the Restricted Group for the year to date ended September 30, 2021; G&A expenses of \$11 million and \$22 million were excluded from the Restricted Group for the quarter and year to date ended September 30, 2020, respectively.
- Goodwill impairment charges of \$5 million and \$144 million recorded to Other (income) expense were excluded from the Restricted Group for the quarter and year to date ended September 30, 2020, respectively.
- A total of 251 company units and 31 franchise units were excluded from the Restricted Group as of September 30, 2020.

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by \$1 million for each of the quarters ended September 30, 2021 and 2020 and \$6 million for each of the years to date ended September 30, 2021 and 2020.

Restricted Group - Taco Bell Division

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

(in millions)	Quarter ended				Year to date			
	2021	2020	% B/(W)		2021	2020	% B/(W)	
			Reported	Ex FX			Reported	Ex FX
System Sales	\$ 399	\$ 336	18	17	\$ 1,125	\$ 913	23	21
Same-Store Sales								
Growth %	8	(4)	N/A	N/A	14	(10)	N/A	N/A
Company sales	\$ 225	\$ 218	3	3	\$ 656	\$ 610	7	7
Franchise and property revenues	22	18	23	22	60	50	21	19
Franchise contributions for advertising and other services	132	118	12	12	\$ 380	\$ 333	14	14
Total revenues	<u>\$ 379</u>	<u>\$ 354</u>	7	7	<u>\$ 1,096</u>	<u>\$ 993</u>	10	10
G&A expenses	\$ 11	\$ 2	NM	NM	\$ 12	\$ 14	19	21
Franchise and property expenses	9	8	(17)	(16)	23	24	5	5
Franchise advertising and other services expense	131	117	(12)	(12)	377	330	(14)	(14)
Operating Profit	\$ 45	\$ 57	(23)	(23)	\$ 158	\$ 134	18	17

Unit Count	9/30/2021	9/30/2020	% Increase (Decrease)
Franchise	693	602	15
Company-owned	476	475	-
	<u>1,169</u>	<u>1,077</u>	9

Company Sales. The quarterly and year to date increases in Company sales were driven by same-store sales growth of 2% and 7% for the quarter and year to date, respectively, and unit growth.

G&A Expenses. The quarterly increase in G&A expenses was driven higher expenses related to our incentive compensation programs, higher professional fees and lower management fees paid by the Taco Bell Securitization Entities.

The year to date decrease in G&A expenses was driven by lower headcount and lapping higher severance expenses, offset by higher expenses related to our incentive compensation programs and lower management fees paid by the Taco Bell Securitization Entities.

Operating Profit. The quarterly decrease in Operating Profit was driven by higher restaurant costs and higher G&A expenses, partially offset by same-store sales growth.

The year to date increase in Operating Profit was driven by same-store sales growth and lower G&A expenses, partially offset by higher restaurant costs.

Additional Information Related to Restricted Group:

The Novel Coronavirus (COVID-19) Global Pandemic

In late 2019 a novel strain of coronavirus, COVID-19, was first detected and in March 2020, the World Health Organization declared COVID-19 a global pandemic. Throughout 2020 and into 2021, COVID-19 has spread throughout the U.S. and the rest of the world and governmental authorities have implemented measures to reduce the spread of COVID-19. These measures include restrictions on travel outside the home and other limitations on business and other activities as well as encouraging social distancing. As a result of COVID-19, we and our franchisees have experienced significant store closures and instances of reduced store-level operations, including reduced operating hours and dining-room closures. The impacts of COVID-19 significantly impacted our results for the quarter and year to date ended September 30, 2020. Beginning in 2020 and continuing through the third quarter of 2021 we have been able to mitigate the loss of sales due to temporary unit closures, dining room closures or other limitations on access through the strength of our off-premise channels, aided by increasing consumer access to our brands via digital channels.

Credit Agreement

On March 15, 2021, KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC (collectively, the “Borrowers”), each of which is a wholly-owned subsidiary of the Company, completed the refinancing of the then existing \$1.9 billion term loan B facility, \$431 million term loan A facility and \$1.0 billion revolving facility through the issuance of a \$1.5 billion term loan B facility maturing March 15, 2028 (the “Term Loan B Facility”), a \$750 million term loan A facility maturing March 15, 2026 “the “Term Loan A Facility”) and a \$1.25 billion revolving facility maturing March 15, 2026 (the “Revolving Facility”) pursuant to an amendment to the Credit Agreement (as defined in our 2020 Form 10-K).

On April 23, 2021, the Borrowers issued a notice of redemption for June 1, 2021 for \$1,050 million aggregate principal amount of 5.25% Subsidiary Senior Unsecured Notes due in 2026 (the “2026 Notes”). The redemption amount was equal to 102.625% of the principal amount redeemed, reflecting a “call premium”, plus accrued interest to the date of redemption.

Refer to the Form 10-Q for the quarter ended September 30, 2021 for further discussion.